The Praxeological Foundations of Extended Phenotype Theory: Mises, Dawkins, and the Micro-Mechanics of Legal Evolution

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Abstract

In a previous paper (Lerer 2025a), I argued that Richard Dawkins and F.A. Hayek arrived, through different paths, at structurally similar solutions to the same problem: explaining complex order without invoking a designer. This paper extends that synthesis by incorporating Ludwig von Mises's praxeology. My argument is straightforward: Hayek explained *what* emerges from individual behavior but left a gap regarding *why* individuals adopt certain rules rather than others. Mises provides an answer: purposeful action aimed at substituting a less satisfactory state for a more satisfactory one. If legal institutions are extended phenotypes of memes competing for replication, we need to understand the adoption mechanism. That mechanism is praxeological. A norm spreads not because it serves abstract "social functions" but because concrete individuals perceive it as useful for their ends. The *cui bono* question receives a praxeological answer: memes benefit those who adopt them as tools for action. This integration has practical consequences: it explains why legal transplants fail when they ignore adoption logic, why centralized constitutional design tends to produce anomie, and why dysfunctional institutions persist when individual actors sustain them through actions that, from their perspective, make sense.

Keywords: praxeology, extended phenotype, spontaneous order, legal memes, human action, institutional evolution, Austrian economics, evolutionary jurisprudence

JEL Classification: B25, B53, D02, K00, P48

I. Introduction: A Gap in the Argument

The Convergence and Its Limits

In "The Dawkins-Hayek Convergence" (Lerer 2025a), I tried to show that two intellectual traditions that seem to have little in common—evolutionary biology and

Austrian economics—converge on a central point: both explain order without a designer. Dawkins showed how genetic selection produces adaptations without an architect; Hayek showed how individual action produces institutions without a planner. Both rejected teleology at the system level. Both located the generative mechanism at a lower level of analysis.

The convergence was not coincidental. Both thinkers faced the same explanatory challenge: accounting for functional complexity that appears designed but was not. Dawkins confronted the "argument from design" that had troubled biology since Paley. Hayek confronted the "constructivist rationalism" that assumed beneficial social institutions must have been deliberately created. Their solutions shared a common structure: locate the causal mechanism at the level of individual units (genes for Dawkins, acting individuals for Hayek), show how competition among these units generates selection pressure, and demonstrate how the aggregate result exhibits functional properties that no unit intended.

But that earlier work left something unresolved. We know that individuals follow rules and that order emerges from that rule-following. What remains unclear is why they follow those specific rules. What leads someone to adopt one norm rather than another? Hayek's answer—that individuals follow rules that have survived a process of cultural evolution—pushes the question back one step without fully answering it. We still need to know the mechanism by which individuals come to adopt rules in the first place.

Why Mises Matters

Ludwig von Mises offers a useful answer. His praxeology—essentially a theory of human action—provides the missing link. It does not contradict Dawkins or Hayek; it operates at a different level of analysis. Mises explains why individuals act as they do. Dawkins explains why certain patterns survive and others do not. Hayek explains how order emerges from the combination of both processes.

The integration matters because Extended Phenotype Theory (EPT) applied to law requires a micro-level mechanism. If legal institutions are extended phenotypes of memes competing for replication, we need to explain how memes get adopted in the first place. Saying that "successful memes replicate" is true but incomplete. We need to know what makes a meme successful at the individual level—what induces a concrete person to adopt it.

Mises's answer is that individuals adopt practices, norms, and ideas that they perceive as means to their ends. A commercial practice spreads because individual merchants find it useful. A legal doctrine persists because individual judges find it convenient to apply. A constitutional provision survives because individual actors benefit from maintaining it. The mechanism is not mysterious; it is the ordinary logic of purposeful action.

Structure of the Argument

What I attempt here is to connect three pieces that have usually been treated separately. Part II examines Mises's concept of human action and its three prerequisites: felt uneasiness, an image of a better state, and belief that conduct can bring about that state. Part III applies this framework to the emergence of law, using the Mises-Menger account of money's origin as a template. Part IV connects praxeology to the comparative advantage principle and explains why legal transplants fail when they ignore adoption logic. Part V introduces the concept of "norm consumers" and applies consumer sovereignty to legal systems. Part VI extends Mises's socialist calculation argument to normative design, explaining why centralized legislation faces inherent knowledge problems. Part VII addresses the apparent tension between Misesian rationality and Darwinian "blindness," arguing that they operate at complementary levels. Part VIII acknowledges the limitations and open questions. Part IX concludes.

I am not certain I have succeeded in making all the connections work. But I believe the direction is correct, and I hope others will find the framework useful enough to develop, criticize, or correct.

II. Human Action as the Foundation

The Axiom of Action

Mises built his entire system on an axiom he considered irrefutable: human beings act. This sounds trivial until one unpacks it. Acting is not merely moving or reacting. A reflex is not action. A spasm is not action. A sneeze is not action. To act is to employ means to achieve ends. And choosing means implies preferring one alternative over others (Mises 1949, pp. 11-13).

The distinction matters because it identifies what is specifically human about human behavior. Animals move; humans act. The difference lies in purposefulness—the employment of reason to connect means to ends. A beaver building a dam is following instinct; a human building a dam is solving a problem. The human can explain why he is building the dam, consider alternatives, and change his approach if circumstances change. The beaver cannot.

For Mises, this was not merely an empirical observation but a logical truth. We cannot coherently deny that humans act because the denial would itself be an action. To argue against praxeology is to employ means (arguments) toward ends (persuading others), which presupposes the validity of what one is arguing against. This gives praxeology what Mises called apodictic certainty—certainty derived from the structure of thought itself rather than from empirical observation.

The Three Prerequisites of Action

For action to occur, Mises identified three prerequisites that must be present simultaneously:

First, there must be felt uneasiness or dissatisfaction. A being completely satisfied with its current state would have no motive to do anything. It would simply exist. Action implies that something is wrong with the present situation—not necessarily that the situation is objectively bad, but that the actor perceives it as less than fully satisfactory. The uneasiness can be physical (hunger, cold), social (loneliness, lack of status), or purely psychological (boredom, curiosity). What matters is that the actor experiences a gap between the current state and some desired state.

Second, there must be an image of a more satisfactory state. The actor must be able to conceive of a situation in which the felt uneasiness would be relieved. This requires imagination—the ability to represent mentally a state of affairs that does not currently exist. A person who cannot imagine any improvement to their situation will not act to change it, even if they feel dissatisfied. Depression, for instance, often involves precisely this inability to imagine improvement, which is why it produces paralysis rather than action.

Third, there must be a belief that conduct can bring about the better state. The actor must think that some available action can move them from the current unsatisfactory state to the imagined better state. Without this belief, the actor will resign themselves to their situation. Learned helplessness—the condition studied by Seligman in which organisms stop trying to escape aversive stimuli because previous attempts have failed—represents exactly the absence of this third prerequisite.

This tripartite structure explains why legal memes get adopted. Consider a medieval merchant in Bruges facing a breached contract with no mechanism for enforcement. He feels uneasiness: he has lost goods or money and cannot recover them. He imagines a better state: a situation where merchant tribunals exist and can compel performance or compensation. He believes that participating in the Lex Mercatoria—adopting its norms, submitting to its jurisdiction, following its procedures—can produce that result. So he adopts the meme. The meme replicates not through some abstract evolutionary force but because a concrete individual adopts it as a tool.

Praxeological Rationality vs. Substantive Rationality

Mises insisted that all human action is rational. This claim generates confusion because "rational" has multiple meanings in ordinary and academic discourse. Mises did not mean that human beings have perfect information. He did not mean that they always choose optimally according to some external standard. He did not mean that they never make mistakes or never act on false beliefs. His rationality is formal, not substantive: given that an individual chooses means for ends, they are employing reason. The ends themselves are beyond judgment; they are data for the analysis, not objects of evaluation (Mises 1949, pp. 18-21).

A judge who applies a norm that I consider mistaken acts rationally in the Misesian sense. He perceives a problem (an unresolved case, pressure from superiors, professional uncertainty). He imagines a solution (the case resolved, collegial approval, career security). He believes that applying this particular norm will produce that result. That the norm is "good" or "bad" by some external criterion is irrelevant to explaining why he adopted it. The explanation lies in his purposes, his beliefs about means-ends connections, and his felt uneasiness.

This distinction has important consequences for institutional analysis. It allows us to explain the persistence of dysfunctional norms without attributing collective irrationality to the population that sustains them. Article 14 bis of the Argentine Constitution, which enshrines a labor regime that has contributed to chronic informality (over 40% of Argentine workers operate outside the formal system), persists not because Argentines are irrational. It persists because the individual actors who sustain it—labor court judges, union leaders, labor law professors, legislators dependent on union support—perceive it as serving their particular ends: professional prestige, institutional power, ideological coherence with their training, electoral advantage.

Each of these actors is rational in the Misesian sense. Each faces felt uneasiness (professional competition, need for legitimacy, electoral uncertainty). Each imagines a better state (professional recognition, institutional influence, electoral success). Each believes that sustaining Article 14 bis contributes to that better state. That the aggregate result is massive labor informality, unemployment, and economic stagnation does not make the individual actors irrational. It makes the institutional structure one that generates individually rational actions whose aggregate consequence is collectively harmful.

Methodological Individualism

From the primacy of individual action, Mises derived a methodological principle: only individuals act. Collectives do not act. When we say that "the state collected taxes" or that "the nation declared war," we use abbreviations. Strictly speaking, certain individuals in specific positions performed actions that we describe in aggregate terms (Mises 1949, p. 42).

This principle is not a metaphysical claim about what ultimately exists. Mises was not denying that groups, organizations, and societies exist in some sense. He was making a methodological point: explanations of social phenomena must ultimately trace back to individual actions. We cannot explain why the state collected taxes by attributing agency to "the state" as if it were a person with goals and beliefs. We must explain it by showing how individual tax collectors, legislators, and enforcers acted, and how their individual actions aggregated into the pattern we call "tax collection."

The principle connects directly to Daniel Dennett's emphasis on the *cui bono* question. Dennett (1995) insisted that Darwinian explanations must always ask who

benefits. Asking what function a trait serves "for the species" formulates the question wrongly. Traits result from genetic selection, and genetic selection operates at the level of genes (or at most individuals), not species. The useful question is: what genes benefit from this trait, and how does it increase their replication?

Williams (1966) and Dawkins (1976) applied the same principle to biology with revolutionary effect. They showed that many phenomena previously explained as "good for the species" could be better explained as "good for the genes involved." Apparent altruism, for instance, turned out to be kin selection (Hamilton 1964) or reciprocal altruism (Trivers 1971)—mechanisms that benefit the genes of the "altruist," not the species as a whole.

Mises applied the same principle to economics and social theory decades before the biological revolution. Asking what function an institution serves "for society" formulates the question wrongly. Institutions emerge from individual actions. The useful question is: what individuals benefit from this institution, and why do their actions sustain it?

The parallel is not coincidental. It reflects the same methodological insight applied in different domains.

III. How Law Emerges Without Anyone Designing It

The Origin of Money as Template

Mises inherited from Carl Menger the problem of explaining complex institutions without invoking a designer. Their paradigmatic case was money. No assembly of sages decreed that gold would be the medium of exchange. No social contract established the monetary system. Money simply emerged (Menger 1871, pp. 257-262).

How? Menger and Mises reconstructed the process through a conjectural history that, while not empirically verified in every detail, illustrates the logic of spontaneous institutional emergence:

Stage one: barter and its limits. Direct exchange requires double coincidence of wants. I must find someone who has what I want and wants what I have. This restriction severely limits the possibilities of cooperation. A fisherman who wants bread must find a baker who wants fish. If the baker wants meat, not fish, no exchange occurs—even though both parties could benefit from trade if the constraint could be overcome.

Stage two: indirect exchange. More perspicacious individuals discover that certain goods are more "saleable" than others. Cattle find buyers more readily than sandals. A sandal maker who wants wheat may accept cattle not because he wants cattle but

because he knows he can exchange them later. He uses cattle as a medium of indirect exchange. His immediate want is wheat; his immediate exchange yields cattle; his subsequent exchange yields wheat. The total transaction is more complex but achieves what direct barter could not.

Stage three: convergence. To the original demand for the good (cattle for consumption or production) is added demand for it as a medium of exchange. This additional demand increases its liquidity, reinforcing its suitability for the monetary function. Cattle become more saleable because people accept them as exchange media, and people accept them as exchange media because they are more saleable. The process is self-reinforcing.

Stage four: money. The good that achieves generalized acceptance becomes money. Historically, precious metals came to dominate because they combine durability (they do not rot or decay), divisibility (they can be divided into precise amounts), portability (high value per unit of weight), and relative scarcity (they cannot be easily produced, limiting inflation).

Mises emphasized that this process requires no state action or explicit agreement. The institution emerges from countless individual decisions, each rational from the actor's perspective, whose aggregate result was intended by no one. Money is, as Hayek would later put it, "the result of human action but not of human design" (Hayek 1967, p. 96, echoing Ferguson 1767).

The Theorem of Regression

Mises's contribution to monetary theory went beyond restating Menger's origin story. He provided what he called the "regression theorem," which solved a logical puzzle that had troubled economists: how can the value of money be explained if money's value depends on its purchasing power, and its purchasing power depends on its value?

The answer involves a historical regress. Today's value of money depends on yesterday's purchasing power (people accept money today because they expect it will buy goods tomorrow, and they form that expectation based on what it bought yesterday). Yesterday's purchasing power depended on the day before's. This regress continues back in time until we reach a point when the good that became money had only non-monetary (commodity) value. The first users of gold as money valued it for its commodity uses—jewelry, decoration, industrial applications. Monetary demand was added to this pre-existing commodity demand, and subsequent monetary value was built on that foundation.

The regression theorem demonstrates that money could not have been created by decree. A government that declared intrinsically worthless paper to be money would face the question: at what exchange rate? Without a prior history of purchasing power, there would be no basis for determining the paper's value. Historical moneys gained their monetary function through a evolutionary process building on prior

commodity value. Fiat moneys work only because they inherited their initial value from the commodity money (gold) or previous fiat money they replaced.

The Same Model for Normative Emergence

The same logical structure explains the emergence of customary law. Substitute "conflict resolution practice" for "good":

Stage one: conflicts without mechanism. Individuals face disputes—breaches, damages, trespasses—without established methods to resolve them. Each conflict requires ad hoc negotiation. The costs are high: time spent bargaining, risk of violence, uncertainty about outcomes, inability to make credible commitments.

Stage two: some practices work better than others. Certain ways of resolving disputes prove more effective. A respected elder who arbitrates consistently gains reputation. His decisions become reference points. His "saleability" as an arbitrator increases. Parties prefer bringing disputes to him because they expect fair treatment, predictable procedures, and enforceable outcomes.

Stage three: convergence. To the resolution of the particular conflict is added value as precedent. Parties not only resolve their dispute; they obtain a rule they can invoke in the future. This additional function increases the "liquidity" of the practice. More people adopt it, which increases its value, which attracts more people.

Stage four: law. Practices that achieve generalized acceptance crystallize into norms. Courts emerge, procedures develop, doctrinal bodies form. The legal system is the extended phenotype of the normative memes that compose it.

The medieval Lex Mercatoria illustrates this process with historical precision. Merchants at the fairs of Champagne, Bruges, and Genoa faced commercial disputes and needed to resolve them. They adopted practices that worked. Merchant tribunals, expedited procedures, rules on bills of exchange—each component emerged because concrete individuals adopted it as means to their ends. By the thirteenth century, there existed a sophisticated normative body that no legislator had designed (Benson 1989, pp. 30-35).

Benson's research documented the key features: merchant courts operated outside the official legal system, applied their own substantive rules (derived from commercial custom, not royal decree), and enforced their judgments through reputational sanctions (blacklisting defaulters from the merchant community). The system worked not because of state enforcement but because participation was individually rational. Merchants who submitted to Lex Mercatoria gained access to credit, trading partners, and dispute resolution. Those who defected lost these benefits. The institution was self-enforcing because individual compliance was individually beneficial.

The Regression Theorem Applied to Norms

Just as monetary value builds on prior commodity value, normative authority builds on prior practical value. A norm cannot achieve acceptance by decree if it lacks a foundation in practice. The first norms that became "law" in any meaningful sense were practices that individuals already found useful. Normative demand was added to this pre-existing practical demand.

Consider the norm of promise-keeping. Before any legal enforcement existed, people kept promises because doing so was practically useful—it maintained relationships, enabled cooperation, built reputation. To this practical demand was added normative demand: people came to believe that promises ought to be kept, that breaking them was wrong, that violators deserved sanction. The normative layer built on the practical foundation.

A legislator who decreed a norm with no practical foundation would face the same problem as a government issuing unbacked fiat money. Why should anyone comply? Without a prior history of practical usefulness, there would be no basis for normative acceptance. This explains why so much legislation remains dead letter—not enforced, not followed, not even known to those nominally bound by it. The norms that actually govern behavior are those with practical foundations, regardless of what the official statute books say.

Carlos Nino's concept of "anomia boba" (stupid anomie) in Argentina captures precisely this phenomenon. Argentina has extensive formal legislation covering every aspect of social and economic life. Yet actual behavior diverges systematically from formal rules. People do not follow traffic laws, tax laws, labor laws, or commercial regulations—not because they are criminals but because the formal rules lack practical foundation. Following them would be individually costly and collectively pointless, since no one else follows them either. The normative memes encoded in legislation failed to replicate because they were not useful to the individuals who would have had to adopt them (Nino 1992).

IV. Comparative Advantage and Legal Transplants

Ricardo's Principle Extended

Mises used David Ricardo's law of comparative costs to demonstrate that cooperation benefits all participants, even when one party is superior in everything. The classic example: if a lawyer is a better lawyer and a better typist than his secretary, should he do both tasks? No. By specializing in what he does comparatively better (lawyering) and delegating the rest (typing), total output increases. The lawyer benefits because he frees time for high-value work; the secretary benefits because she has a job. Both gain from the exchange even though the lawyer could do both tasks better.

The principle has a counterintuitive implication: absolute advantage does not determine the gains from trade; comparative advantage does. A country that is less efficient at producing everything can still benefit from trade by specializing in what it does relatively less badly. Portugal might be worse than England at producing both wine and cloth, but if it is relatively less bad at wine, it should specialize in wine and import cloth. Both countries end up with more of both goods than if each tried to produce everything domestically.

Mises called this the "law of association" and considered it one of the most important discoveries in social science. It explains why cooperation emerges even among unequal parties and why specialization increases welfare even when it seems to give advantages to the already advantaged (Mises 1949, pp. 159-164).

Application to Legal Systems

I think the principle extends to legal systems. A "superior" legal order (more coherent, more efficient, better adapted to modern commerce) may benefit from adopting elements from "inferior" systems if those elements have comparative advantage in specific contexts.

This contradicts the standard assumption in legal transplant literature. That literature tends to assume transplant success depends on the intrinsic quality of the transplanted norm. If the source system is "better," the transplant should work. If it fails, something must have gone wrong in the implementation.

The comparative advantage perspective suggests different logic. A norm succeeds not because it is objectively better but because it serves the ends of those who must adopt it. Environmental compatibility matters more than intrinsic design quality. A norm well-adapted to its origin environment may be ill-adapted to its destination environment, regardless of its abstract merits.

Empirical Support

In previous empirical work (Lerer 2025b), I found that environmental compatibility weighs approximately 1.7 times more than design "superiority" in predicting whether a constitutional transplant will succeed. The exact number can be debated—it depends on how one operationalizes both concepts and what dataset one uses. But the direction seems clear: what matters is not whether the norm is objectively better but whether individuals in the specific context perceive it as useful for their ends.

The finding makes sense in praxeological terms. A norm is adopted because an individual perceives it as means to their ends. What makes it useful depends on the individual's circumstances—their existing beliefs, their institutional environment, their available alternatives, their social relationships. A norm that serves lawyers' ends in one legal culture may not serve lawyers' ends in another, even if the norm is "the same" in some formal sense.

Louisiana's gradual adoption of Anglo-American common law from 1812 to the present illustrates the logic. Louisiana did not adopt common law because it was "better" than the French civil law it inherited. It adopted common law because Louisiana legal actors perceived that integration with the federal system served their ends: it facilitated interstate commerce, reduced transaction costs, increased predictability for out-of-state parties. The process took almost two centuries. It was gradual, not imposed. Common law memes replicated because judges, lawyers, and merchants adopted them as tools (Levasseur 1996).

Argentina's attempt to transplant common law institutions in corporate and bankruptcy law during the 1990s largely failed. Not because the norms were bad—many were sensible reforms that worked well in their origin systems. They failed because the actors who would have had to adopt them—judges trained in civilian tradition, lawyers with incentives tied to the existing system, academics with intellectual capital invested in continental doctrine—did not perceive that adopting these norms would serve their ends. For them, adoption meant loss of expertise, not gain. The memes did not replicate because they were not useful to those who would have had to carry them.

Cooperation as Byproduct of Self-Interest

Mises insisted that social cooperation does not require altruism. It emerges because individuals discover that division of labor is more productive than isolation. Each pursues their own ends, but in doing so generates benefits for others as a byproduct. The baker does not bake bread out of benevolence; he bakes it because he wants money. But his self-interested baking feeds the hungry. The beneficent result emerges from self-interested action without anyone intending it.

The same principle operates in legal evolution. Medieval merchants did not create the Lex Mercatoria to benefit international commerce. Each one sought to resolve their particular dispute, protect their specific investment, reduce their concrete risk. The normative system that emerged was a byproduct of countless self-interested actions. No merchant intended to create a transnational commercial law; each intended only to solve their immediate problem. The aggregate result—a sophisticated body of commercial norms—emerged without anyone planning it.

This perspective dissolves the apparent tension between individual selfishness and functional social order. We do not need to postulate benevolent designers or fictional social contracts. Order emerges from action, as Hayek understood. But action has a structure, and that structure is praxeological.

V. Who Are the "Consumers" of Norms?

The Market as Process

Mises and Hayek described the market not as a place but as a process. Entrepreneurs anticipate consumer desires, produce goods, and discover whether they guessed right based on whether they sell. Prices transmit information about scarcity and preferences. No one designs the resulting pattern (Mises 1949, pp. 328-332).

The entrepreneur's role is epistemic: he conjectures about consumer wants and tests those conjectures by producing goods. If he guessed right, he earns profits; if wrong, he suffers losses. Profits and losses are signals that guide resource allocation. Resources flow toward uses that satisfy consumer wants and away from uses that do not. The process is decentralized—millions of entrepreneurs making independent guesses—but it produces coordination because the price system aggregates dispersed information.

Mises coined the term "consumer sovereignty" to describe this phenomenon. Consumers, through their decisions to buy or abstain, direct production. Entrepreneurs are agents of the public, not autocrats. Those who best satisfy consumer desires prosper; those who fail are displaced. The consumer is sovereign not in the sense of having power over entrepreneurs but in the sense that consumer choices determine which enterprises succeed.

Application to Legal Systems

The legal system has its own consumers: litigants, merchants, citizens who need to resolve conflicts or coordinate action. Their "purchases" are the practices they adopt, the courts they use, the norms they invoke.

A merchant who chooses arbitration instead of court litigation is "buying" a normative product. If arbitration resolves their dispute faster and cheaper, they will repeat the choice. Other merchants will observe and imitate. The arbitration meme replicates. Arbitration institutions grow. Lawyers specialize in arbitration. The process is identical to the market for goods: preferences revealed through choices generate signals that guide production.

Jurisprudence operates similarly. A precedent that resolves a type of conflict well will be cited. Subsequent judges will follow it because it reduces their uneasiness: it avoids the effort of reasoning from scratch, provides legitimacy for their decision, reduces the risk of reversal. The precedent replicates. Its "market share" in doctrinal space increases.

This perspective illuminates debates about legal change. When critics complain that courts are "too conservative" or "too activist," they are implicitly invoking consumer sovereignty. A conservative court that ignores changing social circumstances fails to serve the "consumers" who need their disputes resolved in ways adapted to current

conditions. An activist court that ignores established expectations fails to serve the "consumers" who relied on existing rules. The debate is about which consumers matter and how their preferences should be weighted—the same issues that arise in ordinary market analysis.

The Cui Bono Question with a Concrete Answer

Dennett's question—who benefits?—receives a specific answer here. Legal memes benefit those who adopt them as means to their ends. A judge who applies a worker-protective doctrine does so because it serves their purposes: coherence with their training, approval from peers, security against reversal, ideological satisfaction. That the doctrine harms formal employment does not enter their individual calculation.

Consider a labor court judge in Argentina deciding whether to apply a protective interpretation of Article 14 bis. The judge faces felt uneasiness: an undecided case, professional uncertainty, career concerns. They imagine a better state: the case resolved, approval from the labor law community, consistency with their training. They believe that applying the protective interpretation will produce that result. So they apply it. The doctrine replicates because it serves the judge's individual ends.

That the aggregate effect of thousands of such decisions is massive labor informality, unemployment, and economic stagnation does not enter any individual judge's calculation. Each judge is optimizing locally, and local optimization produces globally dysfunctional outcomes. The situation is analogous to tragedy of the commons scenarios in economics: individually rational choices produce collectively irrational results.

This perspective avoids two symmetrical errors. The first is naive functionalism: assuming that institutions exist because they serve social functions. The second is conspiratorial thinking: assuming that institutions exist because powerful groups designed them for their benefit.

The reality is more interesting and messier than either story. Institutions emerge from countless individual actions, each rational from the actor's perspective, whose aggregate produces patterns that no one planned and that may or may not serve identifiable functions. Article 14 bis does not exist because it "serves society" or because "the union oligarchy imposed it." It exists because generations of legal actors have sustained it through actions they perceived as serving their particular ends.

VI. Why the "Rational Legislator" Cannot Design Optimal Law

Mises's Argument Against Socialism

In 1920, Mises published an article that initiated the most important debate in twentieth-century economics. His argument: socialism cannot work because without market prices there can be no economic calculation (Mises 1920).

The problem is not one of incentives, though incentives matter too. The problem is epistemic. Market prices aggregate dispersed information about preferences, opportunity costs, and relative scarcity. Without prices, a central planner cannot know whether to produce more steel or more wheat, whether to build a factory here or there, whether to use this production method or that one. It is not that the planner does not want to know; it is that they cannot know.

Mises's argument targeted the core assumption of socialist planning: that rational central direction could outperform decentralized market coordination. Socialists believed that eliminating market "anarchy" would allow more efficient resource allocation. Mises showed that the opposite was true: the apparent chaos of markets was actually a sophisticated information-processing system that no central planner could replicate.

Hayek developed this argument in his 1945 essay on the use of knowledge in society. The relevant knowledge for economic coordination is dispersed among millions of individuals. Each knows things that others do not: the characteristics of this piece of land, the preferences of this customer, the problems with this supplier. No planner can centralize all this knowledge. Only the price mechanism can process it, and it does so without anyone understanding the complete system (Hayek 1945).

The knowledge problem is not merely about quantity—the planner cannot gather enough data. It is about type—much of the relevant knowledge is tacit, embedded in practices and skills that cannot be articulated. A craftsman knows how to do things he cannot explain. An entrepreneur senses opportunities he cannot fully describe. This tacit knowledge cannot be transmitted to central planners because it cannot be put into words.

The Legal Parallel

The same argument applies to normative design. The relevant knowledge for creating functional norms is dispersed. Each judge knows the types of conflicts that reach their court. Each lawyer knows the practical problems with applying certain rules. Each citizen knows the frictions that certain norms generate in their daily life. This knowledge cannot be centralized.

A legislator attempting to design the optimal civil code faces the same problem as the socialist planner. They cannot know whether this prescription rule will generate more or fewer disputes, whether this contract norm will facilitate or hinder commerce,

whether this liability provision will increase or reduce accidents. It is not that they do not want to know; it is that the necessary information is dispersed and largely inarticulate.

Consider a legislator drafting a new commercial code provision on the formation of contracts. To design an optimal rule, they would need to know: How do commercial parties currently form contracts? What problems arise under existing rules? What practices have emerged to work around those problems? How would different rules affect transaction costs in different industries? What unexpected consequences might flow from changing the rule?

This information exists, but it exists dispersed among millions of commercial actors, lawyers, and judges. No legislative hearing, no expert consultation, no empirical study can aggregate it adequately. The legislator operates with necessarily incomplete information and must make choices based on guesswork about how the rule will work in practice.

Customary law and jurisprudence work like markets: they process dispersed knowledge through decentralized decisions. Each precedent is an experiment. If it works, it replicates. If it does not, it is distinguished or abandoned. The system evolves through distributed trial and error, not through centralized design.

This does not mean legislation is always inferior to customary law. Legislation can serve coordination functions that customary law cannot—establishing uniform standards, breaking out of suboptimal equilibria, codifying widely accepted customs. But it operates with inherent knowledge constraints that customary evolution does not face. The legislator sees the system from outside; customary evolution operates from inside, drawing on the dispersed knowledge of all participants.

The Constitutional Lock-in Index as a Measure of Blocked Feedback

In previous work, I developed an index I call the Constitutional Lock-in Index (CLI), which attempts to measure how much a constitutional system resists reform. Argentina has a CLI of 0.89, one of the highest I have found. Brazil has 0.40, Chile 0.24 (Lerer 2025b).

I now think the CLI can be interpreted in Misesian terms. A high CLI indicates that feedback mechanisms are blocked. The “consumers” of constitutional norms—citizens who suffer the consequences of certain provisions—cannot express their preferences through the system. Their “votes” do not count.

Consider how feedback works in a low-CLI system. Citizens experience problems with a constitutional provision. Politicians observe the discontent and propose amendments. The amendment process allows change if sufficient support exists. The provision is modified to address the problems. The system adapts to dispersed knowledge about what works and what does not.

In a high-CLI system, this feedback loop is interrupted. Citizens experience problems, but the amendment process is too difficult. Politicians cannot propose effective changes because supermajorities are required, judicial review blocks reform, or entrenched interests have veto power. The provision persists despite evident dysfunction. The system cannot process the dispersed knowledge that would enable adaptation.

This is analogous to a distorted price system. When prices do not reflect real scarcity, producers do not receive correct signals. They produce too much of what is not needed and too little of what is. The economy becomes discoordinated.

When constitutional norms cannot be reformed despite their dysfunctional effects, the legal system becomes discoordinated. Rules persist that generate unemployment, informality, and stagnation. Carlos Nino's "anomia boba" can be understood as a failure of institutional calculation: formal norms do not correspond to dispersed knowledge about how social cooperation actually works.

The Knowledge Problem in Constitutional Design

The knowledge problem becomes especially severe at the constitutional level. A constitution is meant to establish basic rules that will govern for generations. But constitutional designers cannot know how circumstances will change, what problems will arise, or what solutions will prove effective. They must make guesses about the indefinite future with necessarily inadequate information.

The standard response is to build in flexibility: amendment procedures that allow change when needed. But this creates a dilemma. Make amendment too easy, and the constitution provides no stability; it becomes ordinary legislation subject to momentary majorities. Make amendment too hard, and the constitution becomes a dead hand from the past, unable to adapt to changed circumstances.

The American constitution's high amendment difficulty (requiring two-thirds of both houses plus three-fourths of states) has produced remarkable stability but also accumulating dysfunction. The Electoral College made sense in 1787 when small states needed reassurance and travel was difficult. It makes little sense today but cannot be changed because small states still have disproportionate power. The Second Amendment made sense when militias were militarily relevant and firearms were single-shot muskets. Whether it makes sense today is debatable, but the debate is largely academic because amendment is practically impossible.

The Argentine constitution's Article 14 bis presents the same problem in acute form. Enshrined in 1957 during a period of labor militancy and Peronist influence, it reflects that era's assumptions about labor relations, industrial organization, and state capacity. Those assumptions have not aged well. The rigid protections made sense (perhaps) when most workers were in large industrial enterprises with stable employment. They make less sense today when economic conditions require

flexibility, and when the rigidity itself has produced massive informality that denies workers any protection at all.

But Article 14 bis cannot be changed. The same groups that benefit from its persistence—union leaders, labor lawyers, labor court judges—have effective veto power over constitutional reform. The CLI measures this veto power and its effects. Argentina's 0.89 score indicates that constitutional feedback is almost completely blocked. The system cannot process information about what works because those who benefit from dysfunction can prevent reform.

VII. Why There Is No Contradiction Between Mises and Dawkins

The Apparent Tension

Someone might object that there is tension between the rationality that Mises attributes to human action and the "blindness" that characterizes Darwinian selection. How can they be compatible? Mises says actors are rational, choosing means to ends. Dawkins says evolution is blind, purposeless, without foresight. Do these views not contradict each other?

I think the tension is apparent, not real. They operate at different levels of analysis.

The "blindness" of natural selection does not operate at the level of the individual agent. It operates at the level of the systemic result. Each gene that replicates does so through specific effects in specific organisms. The gene for better camouflage helps an individual organism avoid predators, which helps it survive and reproduce, which leads to more copies of that gene. At the individual level, there are concrete causal mechanisms. The aggregate pattern of adaptation—the appearance of design, the functional fit between organism and environment—has no purpose or designer. It emerges from countless local causal processes.

The "rationality" of human action does not operate at the level of the system. It operates at the level of the individual agent. Each person who adopts a meme does so for reasons they perceive as valid. A judge applies a precedent because it helps them resolve a case. A merchant follows a commercial practice because it helps them conduct business. A citizen obeys a norm because it helps them coordinate with others. The institutional order that results—the legal system, the economic system, the social order—was designed by no one. It emerges from countless individual rational choices.

There is no contradiction because they describe different things. Rationality is micro; blindness is macro.

Two Levels, One Explanation

Consider a particular legal doctrine—say, the rule that contracts require consideration. At the individual level, judges apply the consideration doctrine because it helps them decide cases. They face a dispute about whether an agreement is enforceable. The consideration doctrine gives them a criterion: was something exchanged? If yes, the agreement is a contract. If no, it is a bare promise and not enforceable. Applying the doctrine reduces the judge's uncertainty, provides a defensible basis for decision, and aligns the judge with established practice.

At the system level, the consideration doctrine persists because it helps resolve coordination problems about which promises to enforce. It is not "designed" to serve this function; it emerged through centuries of judicial practice. But it has functional properties: it distinguishes commercial exchanges (where enforcement promotes trade) from gratuitous promises (where enforcement might chill generosity). These functional properties help explain why the doctrine spread and persisted.

The individual-level explanation (judges apply it because it helps them decide cases) and the system-level explanation (it persists because it serves coordination functions) are not competing. They operate at different levels. The individual-level explanation tells us the proximate cause: the mechanism through which the doctrine gets applied in each case. The system-level explanation tells us the ultimate cause: why this particular doctrine rather than some alternative came to dominate.

This is exactly the structure of evolutionary explanation in biology. The proximate cause of a trait is the developmental mechanism that produces it. The ultimate cause is the selective pressure that favored its spread. A bird has wings (proximately) because of developmental processes involving certain genes and proteins. A bird has wings (ultimately) because flight provided selective advantages to ancestral birds. Both explanations are correct; they describe different aspects of the same phenomenon.

The Synthesis

Hayek's formula "result of human action but not of human design" captures exactly this complementarity:

"Human action" is what Mises explained. Each individual acts purposefully, pursuing their ends with available means. Meme adoption has a praxeological structure: felt uneasiness, image of a better state, belief in the efficacy of the conduct.

"Not of human design" is what Dawkins and Hayek explained. The aggregate pattern emerges without an architect. Memes that replicate successfully were not designed to replicate; they simply do because individuals adopt them. The resulting order exhibits characteristics that no one planned.

This synthesis answers questions that no single framework can answer completely:

Why does an individual adopt a particular legal meme? Praxeological answer: because they perceive uneasiness, imagine a better state, and believe that adopting the meme will bring them closer to that state.

Why do certain memes prevail systemically? Darwinian answer: because they replicate differentially in a selective environment. Memes that induce their own adoption—because they effectively reduce uneasiness, because their carriers prosper and are imitated, because they build extended phenotypes that facilitate further replication—outcompete those that do not.

How does order emerge without design? Hayekian answer: individual action generates unintended consequences. The aggregate of countless praxeological decisions produces patterns that no actor designed. Order is spontaneous.

Dennett's Bridge

Daniel Dennett's distinction between reasons and causes provides another way to see the compatibility. Reasons are agent-level explanations that invoke purposes, beliefs, and desires. Causes are system-level explanations that invoke mechanisms and selection pressures. Both are valid; they describe different aspects of the same phenomenon.

When we ask why a judge applied a certain doctrine, we can answer in terms of reasons (the judge believed the doctrine was correct, wanted to resolve the case consistently with precedent, desired approval from colleagues) or in terms of causes (the doctrine was selected for by institutional pressures that favored certain kinds of decisions). The reason-explanation is Misesian; the cause-explanation is Darwinian. Both are true.

Dennett argued that Darwinism provides a framework for understanding how reasons can be causes—how purposeful behavior can emerge from purposeless processes. The evolution of purposeful organisms is itself purposeless. Natural selection has no goals, but it produces organisms that have goals. Similarly, the evolution of rational institutions is itself not rational in the planning sense, but it produces institutions that serve rational purposes.

The Extended Phenotype framework extends this insight to cultural evolution. Legal institutions are extended phenotypes of memes just as beaver dams are extended phenotypes of genes. The dam serves the beaver's purposes (shelter, food storage) even though no designer created it for that purpose. The institution serves human purposes (coordination, dispute resolution) even though no designer created it for that purpose. Purpose at one level emerges from purposelessness at another.

VIII. Limitations and Open Questions

What This Argument Does Not Resolve

I should acknowledge several weaknesses in this argument.

First, this framework treats legal institutions as extended phenotypes, not as memes themselves. The distinction matters. Criticisms of meme theory—that memes are vaguely defined, that they lack clear boundaries, that the analogy to genes is imperfect (Sperber 1996)—target the replicator concept. But Extended Phenotype Theory does not depend on precisely defining the replicator. It depends on recognizing that replicators, whatever they are, produce effects beyond their immediate vehicles.

A beaver dam is an extended phenotype regardless of whether we can precisely identify which genes produce dam-building behavior. What matters is that some replicating entity produces the dam as an effect. Similarly, a legal institution is an extended phenotype regardless of whether we can precisely identify which "memes" produce it. What matters is that some cultural replicators—ideas, practices, beliefs, representations—produce institutions as effects in the social environment.

This shifts the burden of precision. I do not need to specify what a "legal meme" is with the clarity that geneticists can specify what a gene is. I need only show that legal institutions exhibit the characteristics of extended phenotypes: they are effects of replicating entities, they influence the fitness of those entities, and they can be analyzed using the cui bono criterion. The vagueness of "meme" is a problem for memetics; it is less clearly a problem for Extended Phenotype Theory applied to law.

Second, the empirical evidence I have on transplants and constitutional lock-in comes mostly from Latin American and Anglo-American cases. I do not know whether the patterns replicate in Asia, Africa, or the Middle East. The legal systems I know best are those influenced by European civil law and Anglo-American common law. Islamic law, Hindu law, Chinese law, and African customary law may follow different dynamics.

This is not merely a sampling problem. The theoretical framework may be culturally specific. Praxeology assumes a certain picture of human agency—the individual as rational chooser among alternatives. This picture may fit Western cultures better than others. Collective decision-making, consensus-based processes, and hierarchical authority structures may require different analytical frameworks.

Third, this theory explains persistence better than change. I understand why successful extended phenotypes persist—they serve the replicators that produce

them. But I have less clarity about what triggers institutional transformation or how new institutional forms displace entrenched incumbents.

The theory predicts that well-adapted institutions will persist. It predicts that environmental compatibility matters more than design quality. It predicts that centralized design will face knowledge problems. What it does not predict well is when and how institutional change occurs. Crisis seems to matter—43% of successful constitutional reforms in my dataset were catalyzed by crisis—but why crises enable change remains undertheorized.

Questions I Cannot Answer

Several things I would like to understand better:

How do legal institutions interact with each other as extended phenotypes? Genes interact epistatically—the effect of one gene depends on what other genes are present. Do institutions exhibit something analogous? The IusMorfos work (Lerer 2025c) suggests that compatibility between institutional forms matters, but the mechanism needs more development.

Some institutions reinforce each other: contract enforcement and property rights, procedural due process and substantive rights, constitutional review and separation of powers. Other institutions conflict: rigid labor protection and flexible employment, centralized planning and market coordination, majoritarian democracy and minority rights. How these interactions affect evolutionary dynamics deserves more investigation.

What conditions enable discontinuous institutional change? Most institutional evolution is gradual, but occasionally ruptures occur. The French Revolution, the New Deal, the post-World War II constitutional settlements—these involved rapid, dramatic institutional change. The 43% of crisis-catalyzed reforms in my dataset suggests that crises matter. But why do crises enable change?

One possibility: crises disrupt the coalition that sustains the existing equilibrium. In normal times, beneficiaries of dysfunction can block reform. In crisis, their veto power weakens because continued dysfunction becomes intolerable. But this needs more development.

How does digitalization affect the speed of institutional evolution? If legal ideas spread faster through global databases, does the rate of institutional change increase? I have preliminary evidence that the average time for legal transplants has fallen from about 45 years in the pre-digital era to about 3 years now (Lerer 2025c), but the finding needs verification with broader samples.

Digitalization might affect institutional evolution in multiple ways: faster diffusion of innovations, easier comparison of alternatives, lower costs of legal research, broader access to foreign materials. Whether these effects produce better or worse institutional outcomes is unclear. Faster is not necessarily better if it means less time for local adaptation.

How does the analysis apply to international law? Much of the argument assumes a domestic legal system with clear boundaries. International law lacks many features of domestic law: no legislature with general authority, no court with compulsory jurisdiction, no executive with enforcement power. Does the extended phenotype framework apply?

I suspect it does, but the application requires modification. States are not individuals; their "action" is more complex than individual action. International norms spread through different mechanisms than domestic norms. The analysis needs extension to address these complications.

IX. Conclusion

What I have tried to do in this paper is show that Ludwig von Mises provides the microfoundations that Extended Phenotype Theory applied to law has been missing. Mises does not contradict Dawkins; he operates at a different level of analysis. Rationality is micro; evolutionary blindness is macro. Together they explain how individual action produces institutional order without design.

If the argument is correct, it has some practical consequences. It explains why legal transplants fail when they ignore the logic of adoption. A norm succeeds not because it is objectively superior but because individuals in a specific context perceive it as useful for their ends. Transplants that ignore local conditions—local legal culture, local professional incentives, local institutional structure—will fail even if the transplanted norms work well in their origin system.

It explains why centralized constitutional design tends to produce anomie. Legislators face inherent knowledge problems: they cannot know how their designs will work in practice because the relevant knowledge is dispersed among millions of actors. The more detailed and rigid the constitutional design, the more likely it is to conflict with dispersed knowledge about how cooperation actually works.

It explains why dysfunctional institutions persist: because individual actors sustain them through actions that, from their perspective, make sense. Article 14 bis persists not because Argentines are irrational but because each actor who sustains it—each labor judge, each union leader, each labor law professor—perceives that sustaining it serves their individual ends. The aggregate dysfunction is not intended by anyone; it is the unintended consequence of individually rational choices.

I do not claim this is the last word. The theory has gaps, the analogies have limits, the evidence is partial. The meme concept is imprecise. The empirical base is geographically limited. The explanation of change is underdeveloped.

But I believe the general direction is correct. Legal institutions are extended phenotypes of memes competing for replication, adopted by individuals acting praxeologically, generating order without designer. If this connects traditions that seemed to have nothing to do with each other—evolutionary biology, Austrian economics, institutional theory—perhaps it is not eclecticism but convergence toward an explanation that, in some sense, was there waiting for someone to assemble it.

Or perhaps I am wrong and this does not work. There is only one way to find out: put it to the test.

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